

HEDGEYE DAILY DIGEST

July 24, 2026 · Macro research recap

The macro tape is telling one story this morning: **#Quad3 reflation is confirmed**. Oil is ripping another **+4%**, commodities (wheat, copper, European gas) and global bond yields are breaking out together, and that combination is bombing long-duration bonds. Meanwhile the **#Bag7** mega-cap tech complex is cracking — **MSFT** slipped back to Bearish TREND, **GOOGL** and **TSLA** are broken, and only **AAPL** (with **NVDA** noisy) still holds clean Bullish signals. Keith McCullough is out of duration (**TLT**), short tech momentum (**PTF/XLK**) and long Utilities and Software/Cybersecurity (**BUG**).

Timing note (GMT+8): Hedgeye publishes on US/EDT time. "Today's Publications" covers the newest batch (Thu Jul 23 EDT, posted Thu evening GMT+8); "Yesterday's Publications" covers the prior batch (Wed Jul 22 EDT).

Today's Publications

EARLY LOOK — "Bombs, #Bag7, & Capex Bubbles"

Early Look · Keith McCullough · 07/23 07:40 AM EDT

Keith frames the day around a single question — **bombs (geopolitics/oil)** or **#Bag7 (mega-cap tech)** as the bigger risk to US stocks — and answers it with process rather than prediction: change exposure *when signals change*. Quoting Rich Brennan ("Noise does not bury structure. Noise reveals it."), he argues market structure is already repricing risk before the headlines land.

On the **reflation** side the signals are stacking up: **Oil +4%** confirming a Bullish TRADE and TREND breakout, **wheat +20%** in a month, **Dr. Copper** breaking out, and **European gas +51%** in a month dragging European yields higher. Both the **US and German 10yr** yields broke above their May Inflation Cycle highs — key levels **UST 10yr 4.67%** and **German Bund 3.18%** — while the **UST 2yr** broke out well above its prior **4.23%** cycle high. That is all he needs to know about **#Quad3**.

On the **#Bag7**, leadership is deteriorating name by name: **GOOGL** front-ran the breakdown; **TSLA** remains Bearish TRADE/TREND (a "dumpster fire"); **MSFT** just failed its attempt to flip Bearish→Bullish TREND *again*; **AMZN** closed on TREND support with a breakdown in play; **META** has its TREND signal back in play at **~\$621**; **NVDA** is noisy around TREND **~207**; and **AAPL** is the "lone wolf" with clean Bullish signals. He is effectively **short #Bag7 momentum via XLK and PTF**, using that to hedge his Cybersecurity Software (**BUG**) long, and short **MEME**. The provocative capex point: **GOOGL spending ~\$200 BILLION** in capex into a potential **2027 #Quad4 revenue slowdown** is, to him, the real bomb.

Investment implication: Stay long the **#Quad3 reflation** winners (energy/commodities, Utilities, select software), stay out of long-duration bonds (TLT/LQD), and treat concentrated **#Bag7 / 60-40** exposure as the primary source of downside risk.

Risk Range™ Signals

Asset	Risk Range	TREND
UST 10Y Yield	4.53 – 4.71	Bullish
High Yield (HYG)	79.40 – 79.81	Neutral
Investment Grade (LQD)	106.3 – 107.8	Bearish
S&P 500 (SPX)	7420 – 7556	Bullish
NASDAQ (COMPQ)	25208 – 25994	Bullish
Russell 2000 (RUT)	2926 – 2986	Bullish

Asset	Risk Range	TREND
Technology (XLK)	171 – 186	Neutral
Health Care (XLV)	157 – 163	Bullish
Utilities (XLU)	44.44 – 46.20	Bullish
Real Estate (XLRE)	44.22 – 45.66	Bullish
Volatility (VIX)	15.57 – 19.49	Bearish
US Dollar (USD)	100.48 – 101.59	Bullish
WTI Crude (WTIC)	80.26 – 91.10	Bullish
Nat Gas (NATGAS)	2.79 – 3.05	Bearish
Gold	3976 – 4149	Bearish
Copper	6.15 – 6.55	Bullish
Silver	55 – 61	Bearish

KM'S TOP 3 THINGS

The Macro Show · 07/23 08:40 AM EDT

“Bonds don’t like bombs and #Bag7 has new bags!” Keith’s three callouts:

COMMODITIES — Oil’s **+4%** reflation confirms the TRADE and TREND breakout, printing a big higher low near **\$80.26**; **wheat +20%**, **copper Bullish TREND** and **European gas +52%** in a month are contributing signals.

RATES — He thanks “the Fractal Gods” for getting out of duration (TLT): the **UST 10yr** broke the **4.67%** May cycle high and the **UST 2yr** printed **4.31%** (vs prior **4.23%**). Even with the rate of change of inflation lower, the direction is accelerating in the **August CPI Nowcast = #Quad3 Stagflation**, hinting at a **hawkish Fed** pending September.

QQQ — Tech leadership deteriorating: **SPCX -7%** yesterday, **TSLA -15-20%** since High-Beta Momentum peaked in May, and the **GOOGL Bearish TREND** breakdown nailed by Hedgeye’s signal + ROC research. Immediate-term ranges: **SPX 7420-7556**, **UST 10yr 4.53-4.71%**.

MOMO TRACKER — MSFT=BEARISH, AMZN/META=NEUTRAL

Momentum Stock Tracker · Christian Drake & Ryan Ricci · 07/23 07:41 AM EDT

The daily Mag7/Bag7 momentum dashboard flags the deterioration in the mega-cap complex: **MSFT** has rolled to **BEARISH**, while **AMZN** and **META** sit at **NEUTRAL** — echoing the Early Look’s point that only **AAPL** (with NVDA noisy) still carries clean Bullish signals. The product is a price/volume/volatility signal dashboard that uses that morning’s published Risk Range signals.

MACRO SHOW SUMMARY NOTES — Thursday, July 23

The Macro Show · 07/23 10:28 AM EDT

Bullish names: Oil/WTI, Utilities (XLU), Software, Datadog (DDOG), Costco (COST, an ~11% position), CSX, West Pharma (WST, +6% on earnings), Eli Lilly (LLY), Illumina (ILMN), Palo Alto (PANW), JPMorgan (JPM), Amazon, Apple, Nvidia. **Bearish:** Tech Momentum (PTF), Meme (MEME), India (INDA), Germany (EWG), France (EWQ), South Korea on a bounce, **TSLA**, **GOOGL**, **MSFT**.

The show reinforced the **#Quad3 reflation** thesis and the **hawkish-Fed risk** from the **2yr ~4.31%** and **10yr above 4.67%** — Keith warning that tightening into an eventual **#Quad4** slowdown could rhyme with **late-2018**. He stressed the Nasdaq’s modest index decline understates the damage beneath it (retail crowded in high-beta, space, meme and short-dated options); **GOOGL** and **TSLA** have lost bullish signals, **MSFT** is back to Bearish TREND, and only **AAPL/NVDA** hold both signals.

Preferred longs remain **Utilities** (+2.3% on the session) and **select Software/Cybersecurity** (DDOG a specific buy; a reversal from the earlier “software apocalypse” short). PM Sam Rahman detailed Mag7 sizing: **GOOGL**

cut to benchmark, **TSLA** none, **MSFT** benchmark (under review), **AMZN** overweight but watched near a TREND break, **META** benchmark testing TREND ~621, **AAPL** overweight and **NVDA** slightly overweight. Cross-asset: short India/Germany/France, short South Korea on a bounce; **gold, silver and Bitcoin** all failed TREND while the **US dollar** stays Bullish. **Snowflake, Pinterest and Datadog** recently entered the top-30 signal-strength list.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 07/23 09:16 AM EDT

Primarily a housekeeping/dashboard update from the HAM Capital Allocation team (McGroarty, Nanai, Salem). The most recent **Model Portfolio Changes** go into effect on closing prices **Friday, July 17th**. Trend/Tail levels for the **68 ETFs** are refreshed on the standard 3-4 week cycle, with a July Key Callouts video pending. No new headline trade was disclosed in the post itself.

SIGNAL STRENGTH STOCKS — 70 Stocks (1 Added, 8 Removed)

Signal Strength Stocks · 07/23 11:15 AM EDT

The weekly signal list shrank to **70 names**. **Added: DGX** (Quest Diagnostics). **Removed (8): TRU, META, SPGI, EXPGY, MCO, PRMB, SHOP, CHWY** — with **META** dropping off consistent with its wobbling TREND signal. The heavy removal count is itself a signal of narrowing momentum breadth.

ALSO PUBLISHED

07/23 EDT

ETF Pro Plus — 2 New ETF Pro Changes (10:40 AM): two new tactical ETF changes on the ETF Pro dashboard.

Crypto Quant — BTC (-0.2%), COIN vs FDIC/SEC (06:57 AM): Bitcoin roughly flat; ETF inflow streak continues; COIN regulatory items and hedge-cover/squeeze commentary.

Miner Weekly Performance Monitor (Digital Assets, 06:57 AM): weekly BTC-miner performance tracker.

Yesterday's Publications

EARLY LOOK — “Oil Up, Bonds Down = #Quad3”

Early Look · Keith McCullough · 07/22 07:31 AM EDT

What: The prior-day flagship establishing the **#Quad3** reflation call — oil breaking above TRADE/TREND resistance while 2yr, 10yr and 30yr yields all rise.

Why: Rising oil + rising yields together is the textbook **#Quad3** signal; the process had already exited **TLT, LQD, Housing (XHB), Extended Market (VXF) and Airlines (JETS)** before the narrative caught up.

Who: Keith McCullough; assets WTI oil, USTs, **BUG** (long software), XHB/VXF/JETS (exited).

Key numbers: Oil **+4.2%** toward ~\$88; TRADE breakout \$78, TREND breakout >\$82; UST 10yr cycle high **4.67%**, 30yr **5.18%**. Ranges: **SPX 7424-7576, UST 10yr 4.52-4.65% (Bullish), WTI 79.07-90.26 (Bullish), Gold 3960-4166 (Bearish)**.

Takeaway: Rotate out of duration and rate-sensitive laggards into **#Quad3** winners; **BUG** software weakness is a buy-more, not a panic.

MACRO SHOW SUMMARY NOTES — Wednesday, July 22

The Macro Show · 07/22 10:37 AM EDT

What: Detailed positioning update triggered by the oil breakout.

Why: Oil's move above ~\$82 TREND forced simultaneous exits from the **Oil short** and the **Airline long** (opposite sides of the same energy exposure); Treasuries (**TLT**, zero-coupon) and **Housing (XHB)** were sold as yields rose.

Who: Keith McCullough. **Bullish:** Equal-Weight S&P (**RSP**, preferred over SPY), XLU, XLRE, XLV, IAK, **BUG**, CrowdStrike (**CRWD**), Colombia, Brazil (EWZ), Philippines (EPHE), British Pound (FXB). **Bearish:** India, Israel (EIS), Indonesia (IDX), Silver Miners (SIL), Japanese Yen, Semis.

Key numbers: WTI upside ~\$90.26; UST 2yr 4.29%, 10yr 4.67%; Silver TRADE ~\$62 / TREND ~\$69 (still Bearish); Gold needs ~\$4,162 for Bullish TRADE; ~2% of capital rotated from Airlines into **Colombia**.

Takeaway: Change exposure when signals change — “my best ideas are usually the worst positions if I’m too early.” Key shifts: **Philippines short**→**long**, **Semis**→**Software/Cybersecurity**, **RSP over SPY**, add **FXB** on softer UK CPI, stay short **SIL**.

MOMO TRACKER — Quad3 Rotation Continues Beyond Mega-Cap Tech

Momentum Stock Tracker · 07/22 09:36 AM EDT

What: Momentum dashboard update.

Why: Confirms the **#Quad3 rotation broadening beyond mega-cap tech** — momentum leadership migrating toward reflation and non-tech exposures.

Who: Mag7/Bag7 and broad-market momentum names.

Key numbers: Signal-based; consistent with commodity/rates breakouts and Bag7 deterioration.

Takeaway: Rotation, not a single-name call: broadening breadth away from mega-cap tech.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 07/22 09:25 AM EDT

What: Routine daily dashboard / model-portfolio update.

Why: Standard daily deliverable; changes referenced against the 7/17 effective set.

Who: HAM Capital Allocation team.

Key numbers: No new standalone headline trade disclosed in the post.

Takeaway: Housekeeping; watch the 7/17 effective changes and refreshed Trend/Tail levels.

SIGNAL STRENGTH STOCKS — 77 Stocks (1 Added, 2 Removed)

Signal Strength Stocks · 07/22 11:29 AM EDT

What: Weekly signal list at **77 names**. **Added:** **MAS** (Masco).

Why: Reflects which names hold the strongest combined signals.

Who: Broad single-stock universe.

Key numbers: **77** names, down to **70** the next day (8 removed).

Takeaway: The day-over-day shrink underscores momentum breadth narrowing as tech leadership fades.

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